



Sampath Bank
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SAMPATH BANK PLC

**Interim Financial Statements
for the period ended 31st March 2025
(In terms of Rule 7.4 of the Colombo Stock Exchange)**

FINANCIAL COMMENTARY FOR THE THREE MONTHS ENDED 31ST MARCH 2025

Designation of the Sampath Bank as a Domestic Systemically Important Bank (D-SIB)

Effective from 17th April 2025, Sampath Bank has been officially designated as a Domestic Systemically Important Bank (D-SIB) by the Central Bank of Sri Lanka, in accordance with Directive No. 01 of 2025. The Bank has been classified under Bucket 1, reflecting its significant role in maintaining the stability and resilience of the national financial system and underscores Sampath Bank's critical importance to the country's financial sector.

Financial Performance

The Bank reported a Profit Before Tax (PBT) of Rs 13.4 Bn and a Profit After Tax (PAT) of Rs 8.3 Bn for the three months ended 31st March 2025, reflecting growth rates of 115% and 149% respectively, compared to the same period in 2024. Similarly, the Sampath Group posted a PBT of Rs 14.3 Bn and a PAT of Rs 8.9 Bn, demonstrating growth rates of 107% and 135% respectively.

Key financial highlights for the period ended 31st March 2025

- The total deposit portfolio expanded by Rs 76.6 Bn
- Net fee and commission income recorded a growth of 6%
- Impairment charges saw a significant reduction of 102%
- Exchange gain of Rs 1.2 Bn, driven by the depreciation of the LKR against the USD by Rs 3.02.
- A gain of Rs 2.7 Bn from the disposal of Tbills and Tbonds
- Net Interest Income (NII) declined by 6%, primarily due to a reduction in market interest rates.
- Strong Tier 1 and Total Capital Adequacy Ratios of 16.51% and 20.30%, respectively.

Fund Based Income

The Bank reported a total interest income of Rs 44.0 Bn for the quarter ended 31st March 2025, representing a decline of 10% compared to the corresponding period in the previous year. This decrease was primarily driven by a lower AWPLR and reduced yields on government securities seen during the period. Interest expenses of the Bank amounted to Rs 24.9 Bn, reflecting a 12% decrease, in line with the overall decline in market interest rates.

The Bank's Net Interest Income (NII) stood at Rs 19.1 Bn, down 6% compared to the corresponding quarter of the previous year. Similarly, the Bank's Net Interest Margin (NIM) declined by 58 basis points—from 4.90% in 2024 to 4.32% in 1Q 2025.

Non-Fund Based Income

In the first quarter of 2025, the Bank recorded a substantial improvement in total non-fund based income, which rose sharply to Rs 8.8 Bn from Rs 0.7 Bn reported during the corresponding period of the previous year. Net fee and commission income increased by 6% compared to 1Q 2024, primarily due to an increase in the income from card, credit and trade related activities.

The Bank reported a total exchange gain of Rs 1.2 Bn in 1Q 2025, in contrast to a loss of Rs 4.3 Bn recorded in the corresponding period of the previous year, primarily due to the depreciation of the LKR against the USD by Rs 3.02. Additionally, the Bank recorded capital gains of Rs 2.7 Bn from the sale of Treasury bills and Treasury bonds, marking a substantial increase of 582% compared to the same period last year.

Impairment Charge

In the first quarter of 2025, the Bank reported a total impairment reversal of Rs 81.8 Mn, reflecting a significant decrease of Rs 4.5 Bn compared to the previous period. This comprised a reversal of Rs 53.4 Mn for loans and advances (1Q 2024: charge of Rs 2.4 Bn), a charge of Rs 0.4 Bn for other financial instruments (1Q 2024: Rs 0.9 Bn), and a reversal of Rs 0.5 Bn for credit-related commitments and contingencies (1Q 2024: charge of Rs 1.1 Bn).

Impairment charge on loans and advances

The Bank recorded a 102% decline in the impairment charge against loans and advances during the reporting period. This notable reduction was primarily due to improved customer credit quality, the Bank's proactive provisioning strategy adopted in previous years, and the stabilisation of key high-risk sectors supported by the broader recovery of the country's economy.

Impairment charge on other financial instruments

An impairment charge of Rs 0.4 Bn was recognised against other financial instruments during 1Q 2025, primarily due to the new investments made during the quarter.

Operating Expenses

During the reporting period, operating expenses increased by Rs 2.3 Bn compared to the same period in 2024. This rise was primarily driven by a Rs 1.2 Bn increase in personnel costs due to annual salary increments granted in 2Q 2024. Despite this, the cost-to-income ratio (CIR) improved by 130 basis points, decreasing to 38.7% in 1Q 2025 from 40.0% in 1Q 2024. This improvement in CIR was driven by a higher increase in operating income outpacing the rise in operating expenses.

Taxation

The total tax charge for the period saw a significant increase of 78%, rising from Rs 5.0 Bn in 1Q 2024 to Rs 8.8 Bn in 1Q 2025. This increase was driven by the growth in taxable income.

Key Ratios

As of 31st March 2025, the Return on Average Shareholders' Equity (after tax) increased to 20.34%, compared to 17.74% at the end of 2024. Similarly, the Return on Average Assets (before tax) stood at 3.02% as of 31st March 2025, compared to 2.84% reported at the end of 2024.

Capital and Liquidity

Throughout the review period, Sampath Bank continued to maintain its capital ratios well above the regulatory minimum requirements. As of 31st March 2025, the Bank's CET 1, Tier 1, and total capital ratios were at 16.51%, 16.51%, and 20.30%, respectively, compared to 16.75%, 16.75%, and 19.38% recorded at the end of 2024. Furthermore, the Bank comfortably met the enhanced capital ratio requirements of 1% at each level applicable to Domestic Systemically Important Banks (D-SIBs) as of 31st March 2025.

Liquidity levels too remained robust and well above the minimum regulatory requirements. As of 31st March 2025, the All-currency Liquidity Coverage Ratio stood at 305.2%, and the Net Stable Funding Ratio was at 198.0%, compared to 307.4% and 198.7% at the end of 2024.

Assets

During the first quarter of 2025, the Bank's total assets grew by 5% driven by increased investments in short-term financial instruments to reach Rs 1.86 Tn compared to Rs 1.78 Tn as of 31st December 2024. During the period, the Bank's holdings in LKR-denominated Treasury bills increased by Rs 28 Bn, while placements with other banks rose by Rs 31 Bn. Additionally, the Bank expanded its investment in U.S. Treasury Bills by Rs 19 Bn. Cash and cash equivalents also increased by Rs 16 Bn, supported by higher nostro balances.

Meanwhile, the gross loan portfolio experienced a slight decline of Rs 4.8 Bn, decreasing from Rs 964.6 Bn at the end of 2024 to Rs 959.8 Bn. This reduction was mainly due to a decrease in foreign currency loans by Rs 10.0 Bn. However, this decline was partially mitigated by an increase of Rs 5.2 Bn in LKR-denominated loans.

Liabilities

As of 31st March 2025, the Bank's total liabilities increased by 6%, reaching Rs 1.70 Tn, up from Rs 1.61 Tn at the end of 2024. This growth was predominantly fueled by a significant expansion in the

deposit base, which rose by Rs 76.6 Bn, from Rs 1,469.2 Bn at the end of 2024 to Rs 1,545.8 Bn as of the reporting date. LKR deposits were the main contributor to this growth, increasing by Rs 67.8 Bn, followed by foreign currency deposits which increased by Rs 8.8 Bn.

The Bank's CASA ratio showed a slight improvement rising to 34.4% as of 31st March 2025, compared to 34.0% at the end of 2024.

Dividend

At the Annual General Meeting held on 28th March 2025, the shareholders of Sampath Bank approved a first and final Cash Dividend of Rs 9.35 per share for the financial year 2024. In the 1Q 2025 Financial Statements, the Bank made a provision of Rs 11.0 Bn to facilitate the payment of the approved final dividend to its shareholders.

Commitment to Stakeholder Well-being

Sampath Bank continues to play a pivotal role in Sri Lanka's economic revival. Through its Business Revival Unit, the Bank provides targeted financial solutions to customers facing financial distress, empowering them to rebuild and sustain their businesses. This initiative has significantly strengthened customer creditworthiness while supporting broader goals of financial stability and economic resilience.

Sustainability continues to guide Sampath Bank's community engagement efforts. As a trusted national institution, the Bank takes a proactive role in tackling economic, environmental and social challenges with the close collaboration of the local communities. Wewata Jeewayak, the Bank's flagship CSR program continues to revitalize the irrigation systems of the nation, uplifting rural communities through agriculture. A "Breath to the Ocean" focusing on marine conservation, "Sampath Saviya" an MSME empowering program, "Hope for Life", providing critical healthcare support, and "Gasai Mamai Pubudu Pothai", a tree-planting initiative that promotes environmental education among children. These efforts reflect the Bank's commitment to creating lasting value by uplifting lives, safeguarding the environment and building a more resilient Sri Lanka.

STATEMENT OF PROFIT OR LOSS

For the three months ended 31st March	Bank			Group		
	2025 Rs 000	2024 Rs 000	Change %	2025 Rs 000	2024 Rs 000	Change %
Gross income	54,218,601	50,628,353	7	57,234,252	53,383,629	7
Interest income	44,018,601	48,745,858	(10)	46,490,578	51,041,994	(9)
Less : Interest expense	24,893,378	28,292,932	(12)	26,031,463	29,478,973	(12)
Net interest income	19,125,223	20,452,926	(6)	20,459,115	21,563,021	(5)
Fee & commission income	6,163,281	5,670,930	9	6,398,587	5,795,681	10
Less : Fee & commission expense	1,424,818	1,196,735	19	1,425,308	1,197,439	19
Net fee & commission income	4,738,463	4,474,195	6	4,973,279	4,598,242	8
Net gain/(loss) from trading	2,879,548	(4,514,963)	164	2,879,548	(4,497,696)	164
Net gain/(loss) on derecognition of financial assets						
- at fair value through profit or loss	54,822	54,812	-	54,822	54,948	-
- at fair value through other comprehensive income	2,666,638	344,427	674	2,666,638	344,427	674
Net other operating income	(1,564,289)	327,289	(578)	(1,255,921)	644,275	(295)
Total other income	4,036,719	(3,788,435)	207	4,345,087	(3,454,046)	226
Total operating income	27,900,405	21,138,686	32	29,777,481	22,707,217	31
Less: Impairment (reversal)/charge	(81,800)	4,372,636	(102)	(173,573)	4,406,178	(104)
Net operating income	27,982,205	16,766,050	67	29,951,054	18,301,039	64
Less: Operating expenses						
Personnel expenses	5,048,648	3,883,284	30	5,693,823	4,356,518	31
Depreciation and amortisation expenses	1,065,743	764,079	39	909,676	700,652	30
Other expenses	4,678,803	3,800,769	23	5,032,326	4,100,321	23
Total operating expenses	10,793,194	8,448,132	28	11,635,825	9,157,491	27
Operating profit before taxes on financial services	17,189,011	8,317,918	107	18,315,229	9,143,548	100
Less : Taxes on financial services						
Value added tax	3,305,747	1,823,468	81	3,506,332	1,965,413	78
Social security contribution levy	459,131	253,259	81	486,990	272,974	78
Total taxes on financial services	3,764,878	2,076,727	81	3,993,322	2,238,387	78
Profit before income tax	13,424,133	6,241,191	115	14,321,907	6,905,161	107
Less : Income tax expense	5,082,179	2,886,514	76	5,397,169	3,111,480	73
Profit for the period	8,341,954	3,354,677	149	8,924,738	3,793,681	135
Attributable to:						
Equity holders of the Bank	8,341,954	3,354,677	149	8,924,738	3,793,681	135
Non controlling interest	-	-	-	-	-	-
	8,341,954	3,354,677	149	8,924,738	3,793,681	135
Earnings per share - Basic/Diluted (Rs)	7.11	2.86	149	7.61	3.23	135

STATEMENT OF COMPREHENSIVE INCOME

For the three months ended 31st March	Bank			Group		
	2025 Rs 000	2024 Rs 000	Change %	2025 Rs 000	2024 Rs 000	Change %
Profit for the period	8,341,954	3,354,677	149	8,924,738	3,793,681	135
Other comprehensive income						
Items that will be reclassified to profit or loss:						
Debt instruments at fair value through other comprehensive income:						
(Loss)/gain arising on re-measurement	(1,507,944)	4,310,760	(135)	(1,507,944)	4,310,760	(135)
Reclassification to profit or loss due to derecognition	(2,666,638)	(344,427)	(674)	(2,666,638)	(344,427)	(674)
Changes in impairment recycled to profit or loss	212,167	53,769	295	212,167	53,769	295
Deferred tax effect on the above	1,188,724	(1,206,031)	199	1,188,724	(1,206,031)	199
Net other comprehensive income to be reclassified to profit or loss	(2,773,691)	2,814,071	(199)	(2,773,691)	2,814,071	(199)
Items that will not be reclassified to profit or loss:						
Equity instruments at fair value through other comprehensive income:						
Loss arising on re-measurement	-	(797,177)	100	-	(797,177)	100
Exchange loss in translation	(8,828)	(255,854)	97	(8,828)	(255,854)	97
Deferred tax effect on the above	2,648	315,909	(99)	2,648	315,909	(99)
Net other comprehensive income not to be reclassified to profit or loss	(6,180)	(737,122)	99	(6,180)	(737,122)	99
Other comprehensive income net of tax	(2,779,871)	2,076,949	(234)	(2,779,871)	2,076,949	(234)
Total comprehensive income for the period net of tax	5,562,083	5,431,626	2	6,144,867	5,870,630	5
Attributable to:						
Equity holders of the Bank	5,562,083	5,431,626	2	6,144,867	5,870,630	5
Non-controlling interest	-	-	-	-	-	-
	5,562,083	5,431,626	2	6,144,867	5,870,630	5

STATEMENT OF FINANCIAL POSITION

As at	31st March 2025	Bank 31st December 2024 (Audited) Rs 000	Change %	31st March 2025 Rs 000	Group 31st December 2024 (Audited) Rs 000	Change %
ASSETS						
Cash & cash equivalents	61,900,493	46,229,318	34	62,356,898	46,501,139	34
Balances with Central Bank of Sri Lanka	27,084,660	16,373,983	65	27,084,660	16,373,983	65
Placements with banks	57,483,730	26,452,245	117	57,483,730	26,452,245	117
Reverse repurchase agreements	6,010,044	1,000,220	501	12,814,076	6,596,063	94
Derivative financial instruments	462,956	507,054	(9)	462,956	507,054	(9)
Financial assets recognised through profit or loss - measured at fair value	3,048,572	4,614,332	(34)	3,048,572	4,614,332	(34)
Financial assets at amortised cost						
- loans & advances	855,654,080	860,151,610	(1)	902,201,635	901,950,481	-
- debt & other instruments	461,749,340	401,280,763	15	462,967,953	405,616,020	14
Financial assets - fair value through other comprehensive income	323,766,123	367,782,512	(12)	323,766,179	367,782,568	(12)
Investment in subsidiaries	4,200,964	4,190,721	-	-	-	-
Property, plant & equipment	11,031,634	10,854,850	2	22,367,999	22,012,514	2
Intangible assets	1,024,183	888,711	15	1,041,720	899,752	16
Right-of-use assets	7,722,844	7,860,280	(2)	5,539,096	5,488,197	1
Deferred tax assets	11,695,183	10,934,412	7	11,936,910	11,177,659	7
Other assets	30,825,699	18,820,112	64	32,717,229	21,023,359	56
Total Assets	1,863,660,505	1,777,941,123	5	1,925,789,613	1,836,995,366	5
LIABILITIES						
Due to banks	33,628,690	23,259,811	45	41,770,352	30,067,815	39
Derivative financial instruments	243,726	3,200,590	(92)	243,726	3,200,590	(92)
Securities sold under repurchase agreements	13,030,095	40,312,784	(68)	13,030,095	40,312,784	(68)
Financial liabilities at amortised cost						
- due to depositors	1,526,678,846	1,455,864,416	5	1,558,134,299	1,487,148,551	5
- due to other borrowers	8,131,385	8,061,364	1	8,131,385	8,061,364	1
- due to debt securities holders	26,934,979	18,891,500	43	32,950,312	24,741,652	33
Retirement benefit obligation	5,480,772	5,799,502	(5)	5,711,310	6,019,892	(5)
Dividend payable	11,261,988	298,695	3,670	11,261,988	298,695	3,670
Current tax liabilities	16,995,766	14,522,729	17	18,048,917	15,312,202	18
Deferred tax liabilities	-	-	-	1,465,302	1,465,112	-
Other liabilities	60,137,487	41,191,516	46	61,978,276	42,484,397	46
Total Liabilities	1,702,523,734	1,611,402,907	6	1,752,725,962	1,659,113,054	6

STATEMENT OF FINANCIAL POSITION

As at	31st March 2025 Rs 000	Bank 31st December 2024 (Audited) Rs 000	Change %	31st March 2025 Rs 000	Group 31st December 2024 (Audited) Rs 000	Change %
EQUITY						
Stated capital	48,741,119	48,741,119	-	48,741,119	48,741,119	-
Reserves						
Statutory reserves						
Statutory reserve fund	7,985,000	7,985,000	-	8,360,000	8,358,000	-
Special reserve	1,713,125	1,660,470	3	1,713,125	1,660,470	3
FVOCI reserves	8,108,770	10,888,641	(26)	8,108,770	10,888,641	(26)
Other reserves	83,607,131	83,605,907	-	87,105,069	87,103,845	-
Retained earnings	10,981,626	13,657,079	(20)	19,035,568	21,130,237	(10)
Total equity attributable to equity holders of the Bank	161,136,771	166,538,216	(3)	173,063,651	177,882,312	(3)
Non-controlling interest				-	-	-
Total Equity	161,136,771	166,538,216	(3)	173,063,651	177,882,312	(3)
Total Liabilities & Equity	1,863,660,505	1,777,941,123	5	1,925,789,613	1,836,995,366	5
Commitments & contingencies	561,686,795	523,844,321	7	559,096,785	521,302,732	7
Net asset value per share (Rs)	137.41	142.01	(3)	147.58	151.69	(3)
Memorandum information						
Number of employees	4,526	4,428				
Number of branches	229	229				

CERTIFICATION:

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.

(Sgd)

Ajantha de Vas Gunasekara

Executive Director/Chief Financial Officer

We, the undersigned, being the Chairman and the Managing Director of Sampath Bank PLC, certify jointly that:

- (a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka; and
- (b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank and its subsidiary companies unless indicated as audited.

(Sgd)

Harsha Amarasekera

Chairman

14th May 2025

(Sgd)

Ayodhya Iddawela Perera

Managing Director

STATEMENT OF CHANGES IN EQUITY

Bank

For the three months ended 31st March 2024	Stated Capital	Statutory Reserves		FVOCI Reserve	Other Reserves		Retained Earnings	Total Equity
		Statutory Reserve Fund	Special Reserve		Revaluation Reserve	General Reserve		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	48,741,119	6,615,000	-	11,344,032	3,594,984	67,011,693	10,566,248	147,873,076
Total comprehensive income for the period								
Profit for the period	-	-	-	-	-	-	3,354,677	3,354,677
Other comprehensive income	-	-	-	2,076,949	-	-	-	2,076,949
Total comprehensive income for the period	-	-	-	2,076,949	-	-	3,354,677	5,431,626
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders								
Final dividend for 2023: cash	-	-	-	-	-	-	(6,860,299)	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	-	(216)	-	(216)
Total contributions by and distributions to equity holders	-	-	-	-	-	(216)	(6,860,299)	(6,860,515)
Balance as at 31st March 2024	48,741,119	6,615,000	-	13,420,981	3,594,984	67,011,477	7,060,626	146,444,187

For the three months ended 31st March 2025	Stated Capital	Statutory Reserves		FVOCI Reserve	Other Reserves		Retained Earnings	Total Equity
		Statutory Reserve Fund	Special Reserve		Revaluation Reserve	General Reserve		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2025	48,741,119	7,985,000	1,660,470	10,888,641	3,594,984	80,010,923	13,657,079	166,538,216
Total comprehensive income for the period								
Profit for the period	-	-	-	-	-	-	8,341,954	8,341,954
Other comprehensive income	-	-	-	(2,779,871)	-	-	-	(2,779,871)
Total comprehensive income for the period	-	-	-	(2,779,871)	-	-	8,341,954	5,562,083
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders								
Final dividend for 2024: Cash	-	-	-	-	-	-	(10,964,752)	(10,964,752)
Unclaimed dividend adjustments	-	-	-	-	-	1,224	-	1,224
Total contributions by and distributions to equity holders	-	-	-	-	-	1,224	(10,964,752)	(10,963,528)
Transfer to reserves during the period	-	-	52,655	-	-	-	(52,655)	-
Balance as at 31st March 2025	48,741,119	7,985,000	1,713,125	8,108,770	3,594,984	80,012,147	10,981,626	161,136,771

STATEMENT OF CHANGES IN EQUITY

Group

For the three months ended 31st March 2024	Stated Capital	Statutory Reserves		FVOCI Reserve	Other Reserves		Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
		Statutory Reserve Fund	Special Reserve		Revaluation Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	48,741,119	6,929,000	-	11,344,032	7,092,922	67,011,693	16,711,726	157,830,492	-	157,830,492
Total comprehensive income for the period										
Profit for the period	-	-	-	-	-	-	3,793,681	3,793,681	-	3,793,681
Other comprehensive income	-	-	-	2,076,949	-	-	-	2,076,949	-	2,076,949
Total comprehensive income for the period	-	-	-	2,076,949	-	-	3,793,681	5,870,630	-	5,870,630
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders										
Final dividend for 2023: cash	-	-	-	-	-	-	(6,860,299)	(6,860,299)	-	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	-	(216)	-	(216)	-	(216)
Total contributions by and distributions to equity holders	-	-	-	-	-	(216)	(6,860,299)	(6,860,515)	-	(6,860,515)
Balance as at 31st March 2024	48,741,119	6,929,000	-	13,420,981	7,092,922	67,011,477	13,645,108	156,840,607	-	156,840,607

For the three months ended 31st March 2025	Stated Capital	Statutory Reserves		FVOCI Reserve	Other Reserves		Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
		Statutory Reserve Fund	Special Reserve		Revaluation Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2025	48,741,119	8,358,000	1,660,470	10,888,641	7,092,922	80,010,923	21,130,237	177,882,312		177,882,312
Total comprehensive income for the period										
Profit for the period	-	-	-	-	-	-	8,924,738	8,924,738	-	8,924,738
Other comprehensive income	-	-	-	(2,779,871)	-	-	-	(2,779,871)	-	(2,779,871)
Total comprehensive income for the period	-	-	-	(2,779,871)	-	-	8,924,738	6,144,867	-	6,144,867
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders										
Final dividend for 2024: Cash	-	-	-	-	-	-	(10,964,752)	(10,964,752)	-	(10,964,752)
Unclaimed dividend adjustments	-	-	-	-	-	1,224	-	1,224	-	1,224
Total contributions by and distributions to equity holders	-	-	-	-	-	1,224	(10,964,752)	(10,963,528)	-	(10,963,528)
Transfer to reserves during the period	-	2,000	52,655	-	-	-	(54,655)	-	-	-
Balance as at 31st March 2025	48,741,119	8,360,000	1,713,125	8,108,770	7,092,922	80,012,147	19,035,568	173,063,651	-	173,063,651

STATEMENT OF CASH FLOWS

For the three months ended 31st March	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Cash flows from operating activities				
Interest receipts	47,673,295	50,297,829	49,556,127	52,593,777
Interest payments	(26,505,802)	(33,095,440)	(27,355,355)	(34,003,290)
Net commission receipts	4,869,053	4,448,358	5,103,869	4,572,405
Cash payments to employees	(6,833,857)	(5,113,615)	(7,464,906)	(5,574,199)
Taxes on financial services	(4,150,612)	(1,169,055)	(4,362,907)	(1,321,511)
Receipts from other operating activities	330,464	270,471	649,016	593,247
Cash payments to other operating activities	(5,029,339)	(4,226,123)	(5,131,964)	(4,323,735)
Operating profit before changes in operating assets & liabilities	10,353,202	11,412,425	10,993,880	12,536,694
(Increase)/Decrease in operating assets				
Balances with Central Bank of Sri Lanka	(10,710,677)	(2,207,166)	(10,710,677)	(2,207,166)
Financial assets at amortised cost - loans & advances	4,778,720	(30,306,073)	612,287	(31,849,325)
Other assets	(12,101,952)	(1,655,505)	(11,827,318)	(1,507,192)
	(18,033,909)	(34,168,744)	(21,925,708)	(35,563,683)
Increase/(decrease) in operating liabilities				
Due to banks	11,278,237	5,626,622	12,499,120	6,251,147
Re-purchase agreements	(27,346,410)	10,004,770	(27,346,410)	9,454,126
Financial liabilities at amortised cost - due to depositors	68,409,340	82,643,127	68,464,829	85,298,452
Financial liabilities at amortised cost - due to other borrowers	(29,328)	(241,950)	(29,328)	(241,950)
Other liabilities	21,638,223	7,899,896	21,813,517	9,014,740
	73,950,062	105,932,465	75,401,728	109,776,515
Net cash generated from operating activities before income tax	66,269,355	83,176,146	64,469,900	86,749,526
Income tax paid	(2,178,540)	(2,926,004)	(2,228,419)	(3,055,568)
Net cash generated from operating activities	64,090,815	80,250,142	62,241,481	83,693,958
Cash flows from investing activities				
Purchase of property, plant & equipment	(430,941)	(232,669)	(748,869)	(394,145)
Proceeds from disposal of property, plant & equipment	1,044	-	2,928	172
Net cash flow from reverse repurchase agreements	(5,000,000)	-	(6,191,757)	(46,200)
Net cash flow from financial assets - FVPL	1,587,364	(2,167,217)	1,587,364	(2,166,031)
Net cash flow from debt instruments at amortised cost	(65,958,646)	(30,553,381)	(62,761,579)	(33,613,326)
Net cash flow from financial assets - FVOCI	39,641,468	(73,666,483)	39,641,468	(73,666,483)
Purchase of intangible assets	(267,141)	(195,170)	(277,468)	(195,170)
Dividend received from financial assets	-	-	-	180
Net cash used in investing activities	(30,426,852)	(106,814,920)	(28,747,913)	(110,081,003)
Cash flows from financing activities				
Proceeds from the issue of debentures	10,000,000	-	10,000,000	-
Redemption of debentures	-	(7,000,000)	-	(7,000,000)
Net Proceeds from securitisation	-	-	-	(94,079)
Repayment of principal portion of lease liabilities	(540,224)	(348,850)	(290,498)	(217,389)
Net cash generated from/(used in) financing activities	9,459,776	(7,348,850)	9,709,502	(7,311,468)
Net cash generated during the period	43,123,739	(33,913,628)	43,203,070	(33,698,513)
Net foreign exchange difference	777,441	(4,763,149)	777,441	(4,763,149)
Cash & cash equivalents at the beginning of the year	71,672,859	113,001,014	71,640,027	112,814,749
Cash & cash equivalents at the end of the period	115,574,039	74,324,237	115,620,538	74,353,087

NOTES TO THE FINANCIAL STATEMENTS

1 Analysis of Loans and Advances and Impairment

	Bank		Group	
	31st March 2025 Rs 000	31st December 2024 (Audited) Rs 000	31st March 2025 Rs 000	31st December 2024 (Audited) Rs 000
As at				
1.1 Gross loans & advances	959,736,720	964,576,145	1,009,078,724	1,009,260,995
Less: Accumulated impairment under stage 1	10,065,747	9,810,450	10,181,987	9,885,943
Accumulated impairment under stage 2	13,266,781	15,131,439	13,992,256	15,910,717
Accumulated impairment under stage 3	80,750,112	79,482,646	82,702,846	81,513,854
Net loans & advances	855,654,080	860,151,610	902,201,635	901,950,481
1.2 Product-wise loans and advances				
Local currency				
Bills of exchange	72,533	84,400	72,533	84,400
Leasing	29,746,851	28,404,717	64,999,332	61,021,594
Housing loans	50,706,554	49,894,932	50,706,554	49,894,932
Export loans	4,600,539	5,848,686	4,600,539	5,848,686
Import loans	94,760,968	92,185,840	94,760,968	92,185,840
Refinance loans	6,178,667	5,511,241	6,178,667	5,511,241
Term loans				
Long term	367,790,522	363,666,340	368,581,060	363,572,046
Short term	13,478,157	11,260,393	13,478,157	11,260,393
Overdraft	95,116,144	92,720,824	95,116,140	92,701,910
Staff loans	12,115,423	11,896,324	12,288,300	12,064,511
Pawning and gold loans	90,141,775	88,415,351	102,669,538	99,861,831
Credit cards	20,026,687	21,410,705	20,026,661	21,410,686
Money market loans	41,070,522	49,750,754	41,070,522	49,750,754
Factoring	2,246,899	1,753,817	2,388,982	1,897,655
Others	4,762	12,251	461,054	434,946
Sub total	828,057,003	822,816,575	877,399,007	867,501,425
Foreign currency				
Bills of exchange	2,069,002	2,203,590	2,069,002	2,203,590
Housing loans	158,877	186,870	158,877	186,870
Export loans	26,161,516	23,795,689	26,161,516	23,795,689
Import loans	8,450,090	10,416,519	8,450,090	10,416,519
Term loans				
Long term	86,376,610	85,790,311	86,376,610	85,790,311
Short term	181,667	11,077,178	181,667	11,077,178
Overdraft	8,267,908	8,286,012	8,267,908	8,286,012
Others	14,047	3,401	14,047	3,401
Sub total	131,679,717	141,759,570	131,679,717	141,759,570
Total gross loans and advances	959,736,720	964,576,145	1,009,078,724	1,009,260,995

1.3 Movement of impairment during the period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2025	9,810,450	15,131,439	79,482,646	104,424,535
Net charge/(reversal) for the period	243,805	(1,945,411)	1,648,221	(53,385)
Write-off during the period	-	-	(67,970)	(67,970)
Interest income accrued on impaired loans & advances	-	-	(1,076,723)	(1,076,723)
Other movements including exchange differences	11,492	80,753	763,938	856,183
Balance as at 31st March 2025	10,065,747	13,266,781	80,750,112	104,082,640

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2025	9,885,943	15,910,717	81,513,854	107,310,514
Net charge/(reversal) for the period	284,552	(1,999,214)	1,569,957	(144,705)
Write-off during the period	-	-	(67,970)	(67,970)
Interest income accrued on impaired loans & advances	-	-	(1,076,813)	(1,076,813)
Other movements including exchange differences	11,492	80,753	763,818	856,063
Balance as at 31st March 2025	10,181,987	13,992,256	82,702,846	106,877,089

NOTES TO THE FINANCIAL STATEMENTS

2 Analysis of Commitments and Contingencies and Impairment

		Bank		Group	
As at		31st March 2025 Rs 000	31st December 2024 (Audited) Rs 000	31st March 2025 Rs 000	31st December 2024 (Audited) Rs 000
2.1	Gross commitments and contingencies	564,842,973	527,461,315	562,231,364	524,898,212
	Less: Accumulated impairment under stage 1	2,001,844	2,027,337	1,980,245	2,005,823
	Accumulated impairment under stage 2	646,896	1,000,137	646,896	1,000,137
	Accumulated impairment under stage 3	507,438	589,520	507,438	589,520
	Net commitments and contingencies	561,686,795	523,844,321	559,096,785	521,302,732
2.2	Product-wise commitments and contingencies				
	Local currency				
	Credit related commitments & contingencies				
	Undrawn - direct credit facilities	143,554,690	130,621,587	140,889,230	127,964,746
	Undrawn - indirect credit facilities	107,531,671	100,355,887	107,531,671	100,355,887
	Acceptances	245,584	43,094	245,584	43,094
	Documentary credit	365,045	493,673	365,045	493,673
	Guarantees	34,812,434	32,709,383	34,813,434	32,710,383
		286,509,424	264,223,624	283,844,964	261,567,783
	Other commitments & contingencies				
	Capital commitments	1,437,640	1,419,564	1,490,491	1,512,302
	Operating lease commitments	140,623	100,937	140,623	100,937
	Forward exchange contracts	8,450,707	15,142,955	8,450,707	15,142,955
	Currency SWAPs	73,176,203	102,652,002	73,176,203	102,652,002
		83,205,173	119,315,458	83,258,024	119,408,196
	Sub total	369,714,597	383,539,082	367,102,988	380,975,979
	Foreign currency				
	Credit related commitments & contingencies				
	Undrawn - direct credit facilities	40,133,652	31,818,805	40,133,652	31,818,805
	Undrawn - indirect credit facilities	13,643,865	7,311,473	13,643,865	7,311,473
	Acceptances	12,172,612	16,722,320	12,172,612	16,722,320
	Documentary credit	50,940,268	25,226,514	50,940,268	25,226,514
	Guarantees	5,220,359	6,765,517	5,220,359	6,765,517
		122,110,756	87,844,629	122,110,756	87,844,629
	Other commitments & contingencies				
	Capital commitments	608,251	532,448	608,251	532,448
	Forward exchange contracts	33,141,739	36,552,533	33,141,739	36,552,533
	Currency SWAPs	39,267,630	18,992,623	39,267,630	18,992,623
		73,017,620	56,077,604	73,017,620	56,077,604
	Sub total	195,128,376	143,922,233	195,128,376	143,922,233
	Total gross commitments and contingencies	564,842,973	527,461,315	562,231,364	524,898,212

2.3 Movement of impairment during the period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2025	2,027,337	1,000,137	589,520	3,616,994
Net reversal for the period	(28,358)	(363,143)	(83,784)	(475,285)
Other movements including exchange differences	2,865	9,902	1,702	14,469
Balance as at 31st March 2025	2,001,844	646,896	507,438	3,156,178

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2025	2,005,823	1,000,137	589,520	3,595,480
Net reversal for the period	(28,443)	(363,143)	(83,784)	(475,370)
Other movements including exchange differences	2,865	9,902	1,702	14,469
Balance as at 31st March 2025	1,980,245	646,896	507,438	3,134,579

NOTES TO THE FINANCIAL STATEMENTS

3 Analysis of Deposits

	Bank		Group	
As at	31st March 2025 Rs 000	31st December 2024 (Audited) Rs 000	31st March 2025 Rs 000	31st December 2024 (Audited) Rs 000
Local Currency Deposits				
Demand deposits	69,403,431	66,394,391	69,316,429	66,377,158
Saving deposits	372,621,473	346,557,832	372,516,973	346,311,065
Call deposits	3,472	3,472	3,472	3,472
Fixed deposits	862,276,346	826,447,841	893,923,301	857,995,976
Certificates of deposits	5,796,394	5,635,081	5,796,394	5,635,081
Margin deposits	1,917,704	1,647,558	1,917,704	1,647,558
Total local currency deposits	1,312,018,820	1,246,686,175	1,343,474,273	1,277,970,310
Foreign Currency Deposits				
Demand deposits	8,114,381	7,679,069	8,114,381	7,679,069
Saving deposits	80,499,254	78,528,703	80,499,254	78,528,703
Fixed deposits	125,909,614	122,794,214	125,909,614	122,794,214
Margin deposits	136,777	176,255	136,777	176,255
Total foreign currency deposits	214,660,026	209,178,241	214,660,026	209,178,241
Total deposits	1,526,678,846	1,455,864,416	1,558,134,299	1,487,148,551

EXPLANATORY NOTES

1. There are no changes to the accounting policies and methods of computation since the publication of the annual accounts for the year 2024.
2. The Group Financial Statements comprise a consolidation of the Bank and its fully owned subsidiaries, Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.
3. There are no material changes during the period in the composition of assets, liabilities and contingent liabilities. All known expenditure items have been provided for.
4. These interim Financial Statements are presented in accordance with Sri Lanka Accounting Standard - LKAS 34 (Interim Financial Reporting) and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.

5. Market Price of a Share	2025 (Rs)	2024 (Rs)
Market Price as at 31st March	122.50	80.00
Highest Market Price during the quarter ended 31st March	128.00	80.90
Lowest Market Price during the quarter ended 31st March	110.00	66.00
Weighted Average Market Price during the quarter ended 31st March	119.85	72.47

Quoted shares and debentures of the Bank are only traded in Sri Lankan Rupees

6. Impairment of financial assets - Loans and advances

The Bank conducted a comprehensive review of its Individually Significant Customers (ISL) and made appropriate provisions in its Financial Statements, taking into account the specific risk profiles of each customer. The improved repayment capacity of these customers driven by lower interest rates and favorable economic conditions contributed to a notable enhancement in overall credit quality. Nevertheless, the fundamental impairment models used for collective provisions in 2024 remained unchanged, to ensure the continued adequacy of provisions in the Financial Statements.

7. Events after the reporting period

There are no material events that took place after the reporting date which require adjustment to or disclosure in the Financial Statements other than the items disclosed under 7.1 below.

7.1 Designating Sampath Bank as a Domestic Systemically Important Bank (D-SIB)

The Central Bank of Sri Lanka, through Directive No. 01 of 2025 has designated Sampath Bank as a Domestic Systemically Important Bank (D-SIB) under bucket 1, effective 17th April 2025. As a result, the minimum capital requirements for the Bank will be increased by 1% across all levels, as outlined below.

	Minimum Capital Requirement	
	Before being elevated to D-SIB status	After being elevated to D-SIB status
Common Equity Tier 1 Capital Ratio	7.00%	8.00%
Tier 1 Capital Ratio	8.50%	9.50%
Total Capital Ratio	12.50%	13.50%

8. Dividend

The Shareholders of the Bank at the Annual General Meeting held on 28th March 2025 approved a final cash dividend of Rs 9.35 per share for the financial year 2024. The Bank has made a provision of Rs 10,965 Mn for the approved final dividend in its Financial Statements as at 31st March 2025. The dividend distribution took place in April 2025.

9. Utilisation of funds raised via capital markets

9.1 Utilisation of funds raised from the debentures allotted on 26th March 2025

Objective number	Objective as per Prospectus	Amount allocated as per Prospectus	Proposed date of utilisation as per Prospectus	Amount allocated from proceeds (A)	% of total proceeds	Amounts utilised (B)	% of utilisation against allocation (B/A)	Clarification if not fully utilised including where the funds are invested
1	To increase the Tier 2 capital base of the Bank.	Rs 10.0 Bn	26.03.2025	Rs 10.0 Bn	100%	Rs 10.0 Bn	100%	Fully utilized
2	To expand the loan portfolio of the Bank.	Rs 10.0 Bn	26.03.2026	Rs 10.0 Bn	100%	Rs 10.0 Bn	100%	Fully utilized

9.2 The funds raised via capital market in previous years

The funds raised via capital markets in the previous years were fully utilised for the objectives stated in the relevant prospectuses.

SAMPATH BANK PLC (ORDINARY SHARES)
TOP 20 SHAREHOLDERS AS AT 31ST MARCH 2025

Name of the Shareholder	No. of shares	% holding
1 Vallibel One PLC	175,352,762	14.95
2 Phantom Investments (Pvt) Limited	117,270,076	10.00
3 Mr Y S H I Silva	117,035,065	9.98
4 Employees' Provident Fund	116,948,697	9.97
5 Rosewood (Pvt) Limited	55,257,954	4.71
6 Ayenka Holdings Private Limited	42,100,476	3.59
7 Akbar Brothers Pvt Ltd A/C No.1	37,073,792	3.16
8 Mr W Jinadasa	27,316,683	2.33
9 Mrs P D A S Beruwalage	12,811,474	1.09
10 Sampath Bank PLC Account No. 4 (Sampath Bank Pension Fund)	11,832,461	1.01
11 First Capital Holdings PLC	9,985,725	0.85
12 BBH - Tundra Sustainable Frontier Fund	9,837,629	0.84
13 BBH - Tundra Shikari Global	8,440,000	0.72
14 Employees' Trust Fund Board	7,553,883	0.64
15 Janashakthi Insurance PLC - Shareholders	7,500,000	0.64
16 Magna Wealth (Pvt) Ltd	6,926,815	0.59
17 Ranavav Holdings (Pvt) Ltd	6,834,000	0.58
18 Citibank Newyork S/A Norges Bank Account 2	5,836,490	0.50
19 Hatton National Bank PLC - Capital Alliance Quantitative Equity Fund	5,002,502	0.43
20 People's Leasing and Finance PLC/L.P.Hapangama	4,771,179	0.42
	785,687,663	67.00
Shares held by Directors	675,639	0.06
Balance held by other shareholders	386,337,458	32.94
Total	1,172,700,760	100.00

As at	31st March 2025
Number of public shareholders	33,888
Percentage of public holding	98.84%
Float adjusted market capitalization	Rs 142 Bn

The Bank complies with the minimum public holding requirement under option 1 of Listing Rules Section 7.13.1 (i) (a).

Directors' Holding in Shares of Sampath Bank PLC

Director's Name	No. of shares held	
	As at 31st March 2025	As at 31st December 2024
1 Mr Harsha Amarasekera	-	-
2 Mr Rushanka Silva	-	-
3 Mr D K de Silva Wijeyeratne	-	-
4 Ms A Nanayakkara	-	-
5 Mr Vajira Kulatilaka	-	-
6 Ms R K Jayawardena	-	-
7 Mr Vinod Hirdaramani	668,087	668,087
8 Mr Hiran Cabraal	-	-
9 Mr Roger Keith Modder	6,941	6,941
10 Ms Ayodhya Iddawela Perera (Managing Director)	611	611
11 Mr D A de Vas Gunasekara (Chief Financial Officer)	-	-

Segment Information - Group

For the period ended 31st March	Corporate Banking		SME & Retail Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	3,621,605	4,197,049	11,971,408	12,386,947	5,872,559	7,025,439	1,252,688	1,002,547	(2,259,145)	(3,048,961)	20,459,115	21,563,021
Net fee & commission income	777,731	1,334,769	3,710,317	3,555,517	(5,772)	(8,173)	234,816	124,047	256,187	(407,918)	4,973,279	4,598,242
Net gain/(loss) from trading	-	-	-	-	2,879,548	(4,514,964)	-	17,268	-	-	2,879,548	(4,497,696)
Net gain/(loss) on derecognition of financial assets	-	-	-	-	2,721,460	399,239	-	136	-	-	2,721,460	399,375
Net other operating income	(1,878)	6,925	386,828	203,299	(2,390,398)	3,599,056	656,504	588,121	93,023	(3,753,126)	(1,255,921)	644,275
Total revenue from external customers	4,397,458	5,538,743	16,068,553	16,145,763	9,077,397	6,500,597	2,144,008	1,732,119	(1,909,935)	(7,210,005)	29,777,481	22,707,217
Inter segment (expense)/income	(95,266)	(110,116)	95,266	110,116	-	-	-	-	-	-	-	-
Total operating income	4,302,192	5,428,627	16,163,819	16,256,424	9,077,397	6,500,597	2,144,008	1,732,119	(1,909,935)	(7,210,550)	29,777,481	22,707,217
Less: Impairment (reversal)/charge	(1,551,157)	3,220,400	1,017,963	27,929	451,394	933,310	(94,593)	40,203	2,820	184,336	(173,573)	4,406,178
Net operating income	5,853,349	2,208,227	15,145,856	16,228,495	8,626,003	5,567,287	2,238,601	1,691,916	(1,912,755)	(7,394,886)	29,951,054	18,301,039
Less: Total operating expenses	262,774	209,274	5,378,685	4,238,466	103,717	92,968	1,130,333	916,175	4,760,316	3,700,608	11,635,825	9,157,491
Segment result	5,590,575	1,998,953	9,767,171	11,990,029	8,522,286	5,474,319	1,108,268	775,741	(6,673,071)	(11,095,494)	18,315,229	9,143,548
Less: Taxes on financial services											3,993,322	2,238,387
Less: Income tax expense											5,397,169	3,111,480
Profit for the period											8,924,738	3,793,681
Non controlling interest											-	-
Profit attributable to equity holders of the Bank											8,924,738	3,793,681
As at 31st March	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	434,922,805	400,506,099	1,591,962,342	1,373,974,775	865,668,248	718,045,053	74,888,691	62,303,290	277,216,461	161,515,573	3,244,658,547	2,716,344,790
Unallocated assets	-	-	-	-	-	-	-	-	(1,318,868,934)	(1,035,123,089)	(1,318,868,934)	(1,035,123,089)
Total assets	434,922,805	400,506,099	1,591,962,342	1,373,974,775	865,668,248	718,045,053	74,888,691	62,303,290	(1,041,652,473)	(873,607,516)	1,925,789,613	1,681,221,701
Segment liabilities	429,744,161	397,651,633	1,584,166,522	1,364,267,567	851,804,084	701,695,931	58,866,703	48,087,239	142,918,316	43,303,028	3,067,499,786	2,555,005,398
Unallocated liabilities	-	-	-	-	-	-	-	-	(1,314,773,824)	(1,030,624,304)	(1,314,773,824)	(1,030,624,304)
Total liabilities	429,744,161	397,651,633	1,584,166,522	1,364,267,567	851,804,084	701,695,931	58,866,703	48,087,239	(1,171,855,508)	(987,321,276)	1,752,725,962	1,524,381,094
For the period ended 31st March	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	35,103,205	(7,743,100)	43,124,535	57,090,485	(10,199,992)	31,925,567	(1,849,334)	3,443,816	(3,936,933)	(1,022,810)	62,241,481	83,693,958
Cash flows from investing activities	-	-	-	-	(29,729,814)	(106,387,081)	1,678,939	(3,266,083)	(697,038)	(427,839)	(28,747,913)	(110,081,003)
Cash flows from financing activities	-	-	-	-	-	-	249,726	37,382	9,459,776	(7,348,850)	9,709,502	(7,311,468)
Capital expenditure	-	-	-	-	-	-	(328,255)	(161,476)	(698,082)	(427,839)	(1,026,337)	(589,315)

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Bank - As at 31st March 2025

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	61,900,493	-	61,900,493
Balances with Central Bank of Sri Lanka	-	27,084,660	-	27,084,660
Placements with banks	-	57,483,730	-	57,483,730
Reverse repurchase agreements	-	6,010,044	-	6,010,044
Derivative financial instruments	462,956	-	-	462,956
Financial assets recognised through profit or loss - measured at fair value	3,048,572	-	-	3,048,572
Financial assets at amortised cost				
- loans & advances	-	855,654,080	-	855,654,080
- debt & other instruments	-	461,749,340	-	461,749,340
Financial assets - fair value through other comprehensive income	-	-	323,766,123	323,766,123
Other assets	-	24,474,861	-	24,474,861
Total Financial Assets	3,511,528	1,494,357,208	323,766,123	1,821,634,859

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	33,628,690	33,628,690
Derivative financial instruments	243,726	-	243,726
Securities sold under repurchase agreements	-	13,030,095	13,030,095
Financial liabilities at amortised cost			
- due to depositors	-	1,526,678,846	1,526,678,846
- due to other borrowers	-	8,131,385	8,131,385
- due to debt securities holders	-	26,934,979	26,934,979
Dividend payable	-	11,261,988	11,261,988
Other liabilities	-	52,305,012	52,305,012
Total Financial Liabilities	243,726	1,671,970,995	1,672,214,721

Bank - As at 31st December 2024 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	46,229,318	-	46,229,318
Balances with Central Bank of Sri Lanka	-	16,373,983	-	16,373,983
Placements with banks	-	26,452,245	-	26,452,245
Reverse repurchase agreements	-	1,000,220	-	1,000,220
Derivative financial instruments	507,054	-	-	507,054
Financial assets recognised through profit or loss - measured at fair value	4,614,332	-	-	4,614,332
Financial assets at amortised cost				
- loans & advances	-	860,151,610	-	860,151,610
- debt & other instruments	-	401,280,763	-	401,280,763
Financial assets - fair value through other comprehensive income	-	-	367,782,512	367,782,512
Other assets	-	12,571,604	-	12,571,604
Total Financial Assets	5,121,386	1,364,059,743	367,782,512	1,736,963,641

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	23,259,811	23,259,811
Derivative financial instruments	3,200,590	-	3,200,590
Securities sold under repurchase agreements	-	40,312,784	40,312,784
Financial liabilities at amortised cost			
- due to depositors	-	1,455,864,416	1,455,864,416
- due to other borrowers	-	8,061,364	8,061,364
- due to debt securities holders	-	18,891,500	18,891,500
Dividend payable	-	298,695	298,695
Other liabilities	-	30,918,520	30,918,520
Total Financial Liabilities	3,200,590	1,577,607,090	1,580,807,680

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Group - As at 31st March 2025

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	62,356,898	-	62,356,898
Balances with Central Bank of Sri Lanka	-	27,084,660	-	27,084,660
Placements with banks	-	57,483,730	-	57,483,730
Reverse repurchase agreements	-	12,814,076	-	12,814,076
Derivative financial instruments	462,956	-	-	462,956
Financial assets recognised through profit or loss - measured at fair value	3,048,572	-	-	3,048,572
Financial assets at amortised cost				
- loans & advances	-	902,201,635	-	902,201,635
- debt & other instruments	-	462,967,953	-	462,967,953
Financial assets - fair value through other comprehensive income	-	-	323,766,179	323,766,179
Other assets	-	25,828,711	-	25,828,711
Total Financial Assets	3,511,528	1,550,737,663	323,766,179	1,878,015,370

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	41,770,352	41,770,352
Derivative financial instruments	243,726	-	243,726
Securities sold under repurchase agreements	-	13,030,095	13,030,095
Financial liabilities at amortised cost			
- due to depositors	-	1,558,134,299	1,558,134,299
- due to other borrowers	-	8,131,385	8,131,385
- due to debt securities holders	-	32,950,312	32,950,312
Dividend payable	-	11,261,988	11,261,988
Other liabilities	-	52,861,107	52,861,107
Total Financial Liabilities	243,726	1,718,139,538	1,718,383,264

Group - As at 31st December 2024 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	46,501,139	-	46,501,139
Balances with Central Bank of Sri Lanka	-	16,373,983	-	16,373,983
Placements with banks	-	26,452,245	-	26,452,245
Reverse repurchase agreements	-	6,596,063	-	6,596,063
Derivative financial instruments	507,054	-	-	507,054
Financial assets recognised through profit or loss - measured at fair value	4,614,332	-	-	4,614,332
Financial assets at amortised cost				
- loans & advances	-	901,950,481	-	901,950,481
- debt & other instruments	-	405,616,020	-	405,616,020
Financial assets - fair value through other comprehensive income	-	-	367,782,568	367,782,568
Other assets	-	14,358,414	-	14,358,414
Total Financial Assets	5,121,386	1,417,848,345	367,782,568	1,790,752,299

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	30,067,815	30,067,815
Derivative financial instruments	3,200,590	-	3,200,590
Securities sold under repurchase agreements	-	40,312,784	40,312,784
Financial liabilities at amortised cost			
- due to depositors	-	1,487,148,551	1,487,148,551
- due to other borrowers	-	8,061,364	8,061,364
- due to debt securities holders	-	24,741,652	24,741,652
Dividend payable	-	298,695	298,695
Other liabilities	-	31,040,787	31,040,787
Total Financial Liabilities	3,200,590	1,621,671,648	1,624,872,238

FAIR VALUE OF FINANCIAL INSTRUMENTS

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

(a) Level 1 – Quoted market price (unadjusted)

When available, the Bank measures the fair value of financial instruments using quoted market prices in an active market. Accordingly, quoted equity securities have been valued using quoted market prices as at the reporting date, while the fair values of treasury bills and bonds have been derived using the published yield curves. The Bank uses the prices quoted in Bloomberg to value the US Treasuries.

(b) Level 2 – Valuation technique using observable inputs

If a market for a financial instrument is not active, then the Bank measures fair value of such instruments using quoted prices for similar assets and liabilities in active markets or quoted prices for identical/similar assets and liabilities in inactive markets or using models where all significant inputs are observable. The Bank has used the spot and forward premiums available as at the reporting date to estimate the fair value of derivative financial instruments. Fair values of financial assets and financial liabilities carried at amortised cost have been estimated by comparing the interest rates when they were first recognised with the current market rates of similar instruments.

(c) Level 3 – Valuation technique with significant unobservable inputs

Assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

There are no material changes in the fair value of financial assets categorised under Level 3, compared to the values reported as at 31st December 2024. The Bank has not changed the valuation models and assumptions used to measure the fair values of Level 3 financial instruments during the period ended 31st March 2025.

Financial Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

Bank

Date of Valuation	As at 31st March 2025				As at 31st December 2024 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs	
	(Level 1) Rs 000	(Level 2) Rs 000	(Level 3) Rs 000		(Level 1) Rs 000	(Level 2) Rs 000	(Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	462,956	-	462,956	-	507,054	-	507,054
Financial assets - fair value through profit or loss	3,048,572	-	-	3,048,572	4,614,332	-	-	4,614,332
Financial assets - fair value through other comprehensive income	320,921,489	2,640,860	203,774	323,766,123	367,578,758	-	203,754	367,782,512
Total financial assets measured at fair value	323,970,061	3,103,816	203,774	327,277,651	372,193,090	507,054	203,754	372,903,898
Financial liabilities measured at fair value								
Derivative financial instruments	-	243,726	-	243,726	-	3,200,590	-	3,200,590
Total financial liabilities measured at fair value	-	243,726	-	243,726	-	3,200,590	-	3,200,590

Group

Date of Valuation	As at 31st March 2025				As at 31st December 2024 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs	
	(Level 1) Rs 000	(Level 2) Rs 000	(Level 3) Rs 000		(Level 1) Rs 000	(Level 2) Rs 000	(Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	462,956	-	462,956	-	507,054	-	507,054
Financial assets - fair value through profit or loss	3,048,572	-	-	3,048,572	4,614,332	-	-	4,614,332
Financial assets - fair value through other comprehensive income	320,921,489	2,640,860	203,830	323,766,179	367,578,758	-	203,810	367,782,568
Total financial assets measured at fair value	323,970,061	3,103,816	203,830	327,277,707	372,193,090	507,054	203,810	372,903,954
Financial liabilities measured at fair value								
Derivative financial instruments	-	243,726	-	243,726	-	3,200,590	-	3,200,590
Total financial liabilities measured at fair value	-	243,726	-	243,726	-	3,200,590	-	3,200,590

FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)

Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

Bank

Date of Valuation	As at 31st March 2025					As at 31st December 2024 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	857,445,125	-	857,445,125	855,654,080	-	862,032,418	-	862,032,418	860,151,610
debt & other instruments	413,064,859	53,142,519	-	466,207,378	461,749,340	354,429,078	53,244,486	-	407,673,564	401,280,763
	413,064,859	910,587,644	-	1,323,652,503	1,317,403,420	354,429,078	915,276,904	-	1,269,705,982	1,261,432,373
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	33,656,276	-	33,656,276	33,628,690	-	23,259,811	-	23,259,811	23,259,811
due to depositors - fixed & certificate of deposits	-	1,000,970,244	-	1,000,970,244	993,982,354	-	961,296,733	-	961,296,733	954,877,136
due to debt securities holders	-	31,137,872	-	31,137,872	26,934,979	-	23,059,835	-	23,059,835	18,891,500
	-	1,065,764,392	-	1,065,764,392	1,054,546,023	-	1,007,616,379	-	1,007,616,379	997,028,447

Group

Date of Valuation	As at 31st March 2025					As at 31st December 2024 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	908,391,110	-	908,391,110	902,201,635	-	907,820,422	-	907,820,422	901,950,481
debt & other instruments	414,283,472	53,142,519	-	467,425,991	462,967,953	358,764,335	53,244,486	-	412,008,821	405,616,020
	414,283,472	961,533,629	-	1,375,817,101	1,365,169,588	358,764,335	961,064,908	-	1,319,829,243	1,307,566,501
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	41,891,844	-	41,891,844	41,770,352	-	30,160,890	-	30,160,890	30,067,815
due to depositors - fixed & certificate of deposits	-	1,032,564,180	-	1,032,564,180	1,025,629,309	-	992,738,798	-	992,738,798	986,425,271
due to debt securities holders	-	37,121,062	-	37,121,062	32,950,312	-	28,863,197	-	28,863,197	24,741,652
	-	1,111,577,086	-	1,111,577,086	1,100,349,973	-	1,051,762,885	-	1,051,762,885	1,041,234,738

Treasury bonds acquired in settlement of SLDBs under the Domestic Debt Optimisation Program (DDO) in 2023 and treasury bonds received in settlement of Sri Lanka International Sovereign Bonds in 2024 have been classified under level 2 since there is no active market for such bonds.

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Due to other borrowers
Reverse repurchase agreements	Dividend payable
Other financial assets	Other financial liabilities

DEBENTURE INFORMATION

(a) Market Values

Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2025	2024	2025	2024	2025	2024
Fixed - 9.00%	N/T	N/T	N/T	N/T	N/T	N/T

Debentures - 2023/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2025	2024	2025	2024	2025	2024
Fixed - 28.00%	137.00	135.00	135.00	110.00	135.00	135.00
Floating rate	N/T	N/T	N/T	N/T	N/T	N/T

Debentures - 2025/2030 (Note 1)	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2025	2024	2025	2024	2025	2024
Fixed - 11.75%	N/T	N/A	N/T	N/A	N/T	N/A

Note 01

Debentures - 2025/2030

The Bank issued 100,000,000 Basel III Compliant - Tier 2, Listed, Rated, Unsecured, Subordinated, Redeemable 5 year debentures (2025/2030) with a Non-Viability Conversion feature, at the par value of Rs 100 each, to raise a sum of Rs 10 Bn at an interest rate of 11.75%. These Debentures were allotted on 26th March 2025 and were listed on 01st April 2025.

(b) Interest Rates

Debentures - 2021/2028	2025		2024	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 9.00%	9.00%	9.00%	9.00%	9.00%

Debentures - 2023/2028	2025		2024	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 28.00%	28.00%	28.00%	28.00%	28.00%
Floating rate	Note 02			

Debentures - 2025/2030	2025		2024	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 11.75%	11.75%	11.75%	N/A	N/A

Note 02

Debentures - 2023/2028

Floating rate is equivalent to the one year gross treasury bill rate plus 1.5%, subject to a floor of 20.0% & a cap of 31.0% p.a. payable annually.

(c) Interest Rates of Comparable Government Securities

	2025	2024
3 Month Treasury Bill	7.50%	10.07%
6 Month Treasury Bill	7.84%	10.23%
5 Year Treasury Bond	10.33%	12.28%
7 Year Treasury Bond	10.91%	12.75%

(d) Current Yield & Yield to Maturity

Debentures - 2021/2028	Fixed 9.00%	
	2025	2024
Current yield	N/T	N/T
Yield to maturity of last trade	N/T	N/T

Debentures - 2023/2028	Fixed 28.00%		Floating	
	2025	2024	2025	2024
Current yield	20.74%	20.74%	N/T	N/T
Yield to maturity of last trade	12.76%	15.29%	N/T	N/T

Debentures - 2025/2030	Fixed 11.75%	
	2025	2024
Current yield	N/T	N/A
Yield to maturity of last trade	N/T	N/A

N/T - Not Traded , N/A - Not Applicable

(e) Ratios - Bank

	31.03.2025	31.12.2024
Debt to Equity Ratio (%)	16.1	9.6
Interest Cover (Times)	21.1	18.1
Quick Asset Ratio (%) (as per CBSL Return)	96.3	83.9

SELECTED PERFORMANCE INDICATORS/KEY FINANCIAL DATA (AS PER REGULATORY REPORTING)

Item	As at 31st March 2025	As at 31st December 2024	As at 31st March 2025	As at 31st December 2024
	Bank		Group	
Regulatory Capital Adequacy (Rs 000)				
Common Equity Tier 1 Capital	130,798,690	131,766,084	141,609,438	142,561,898
Tier 1 Capital	130,798,690	131,766,084	141,609,438	142,561,898
Total Regulatory Capital	160,819,296	152,522,320	172,174,354	163,818,916
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%*)	16.51	16.75	16.80	17.10
Tier 1 Capital Ratio (Minimum Requirement - 8.5%*)	16.51	16.75	16.80	17.10
Total Capital Ratio (Minimum Requirement - 12.5%*)	20.30	19.38	20.43	19.65
Basel III Leverage Ratio % (Minimum Requirement - 3%)	6.85	7.24	7.17	7.58

*With effect from 17th April 2025, the minimum requirement for Common Equity Tier 1 Capital, Tier 1 Capital and Total Capital ratios were increased to 8.0%, 9.5% and 13.5% respectively.

	As at 31st March 2025	As at 31st December 2024
	Bank	
Regulatory Liquidity Requirement		
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement - 100%)	389.45	340.11
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement - 100%)	305.17	307.36
Net Stable Funding Ratio (%) (Minimum Requirement - 100%)	198.00	198.66
Assets Quality (Quality of Loan Portfolio)		
Impaired Loans (Stage 3) to Total Loans Ratio %	4.61	4.69
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	60.51	60.08
Income & Profitability		
Net Interest Margin, %	4.32	4.90
Return on Assets (Before Tax), %	3.02	2.84
Return on Equity (After Tax), %	20.34	17.74
Cost to Income Ratio (%)	38.68	44.95
Memorandum Information		
Credit Rating - Fitch	AA- (Ika)	AA- (Ika)
Number of Employees	4,526	4,428
Number of Branches	229	229